

Knowledge of accounting, moreover, the petty cash book is classified into particular column, on the Payments of expenses, these columns are filled by the petty cashier.

⑤ Convenient Handling of Cash Books

Two different person can work on petty cashbook and main cashbook at the same time without any interference from each other as both books are separately maintained. This helps in avoiding the unnecessary work burden on the chief cashier and saves the main cash book from being bulky, cumbersome and troublesome.

Financial Statements

Financial statements

The objective is to communicate meaningful information to internal users i.e. owners, share holders and management and external users i.e. govt bank and other creditors. The information can be provided in the form of financial statements i.e. trading and profit and loss account, i.e. income statement or statement of profit and loss and, B-sheet i.e. position statement while preparing trading and profit & loss A/c & Balance sheet. One should have the knowledge of capital & revenue items. The revenue items are recorded in the trading & profit & loss A/c & capital items are recorded in the balance sheet.

Name the two financial statements

- ① Trading (gross Profit) and
- ② Balance sheet

Trading & Profit and loss A/c

It is prepared to determine the profit earned or loss incurred by the business during the accounting period. It is a summary of revenue and expenses of the business and calculate the Profit/Loss. Revenue are taken on the credit side & expenses are taken on the debit side. If income are more than expenses, the result is profit. If income are less than expenses, the result is loss.

Concept of Gross and Net Profit

The trading and profit & loss can be seen combination of two accounts. Trading Account & Profit & loss A/c.

The trading a/c the first part ascertain the gross profit and profit & loss a/c or second part ascertain net profit

Accounting reports that summarise the activities of a business over a period of time is called as financial statements

Financial statements
Trading a/c Profit/Loss a/c

Balance sheet
statement of financial position of the business

Income statement
shows financial performance
Asset, liability, capital

Profit earned
Loss incurred

Trading a/c $\rightarrow$ gross profit / gross loss
Profit/Loss a/c $\rightarrow$ net profit / net loss

Accounting process

Transaction of events

Source documents

Journal $\rightarrow$ Subsidiary Book

Ledger $\rightarrow$ Journal (proper)

Trial Balance

heads of a/c	Debit (a)	Credit (a)
Assets	✓	
Liability		✓
Capital		✓
Expenses	✓	
Direct expenses	✓	
Indirect expenses	✓	
Income		✓
Direct income		✓
Indirect income		✓

Direct expenses: - Expenses which directly related to the production of goods or services on the goods purchased till they are brought to the godown
(carriage inward or freight, post and fuel, factory rent etc)

Indirect expenses: - Expenses incurred in the course operation of the business
Ex: - salaries, electricity, depreciation, carriage outward etc

Direct income: - Income earned from the secondary activity
Ex: - ~~retail income~~ ~~job work income~~ ~~discount~~ ~~sale of goods~~
Indirect income: Income earned from secondary activity
Ex: - rental income, interest income, dividend income etc

Normal a/c rule

Trading a/c Gross Profit

Particulars	amt	Particulars	amt
Gross Expense	xxx	Direct Income	xxx
Gross Profit	xxx	Gross Loss	xxx
	xxx		xxx

Profit/Loss a/c

Particulars	amt	Particulars	amt
Gross Loss	xxx	Gross Profit	xxx
Indirect exp	xxx	Indirect Income	xxx
Net Profit	xxx	Net Loss	xxx
	xxx		xxx

Balance Sheet

Particulars	amt	Particulars	amt
Capital	xxx	Assets	xxx
(+ Net Profit)	xxx		
(- Net Loss)	xxx		
Profitability	xxx		
	xxx		

Formula

- Net Purchase = Purchase - Return outward
- Net Sales = Sales - Return inward
- Gross Profit = Net Sales - COGS
- Adjusted Purchase = Opening stock + Net Purchase - Closing stock

COGS (Cost of goods sold) (to find COGS)

Particulars	amt.
Op stock	xxx
(+) Net Purchase	xxx
(+) Direct expenses	xxx
(-) Closing stock	xxx
COGS	xxx

Nominal Account Rule.

Debit all expense/loss
Credit all Income/gain

Note:- Return outward → Purchase, Return inward → Sales return.

I Trading A/c Preparation / Gross Profit.

Problem - I.

From the following balance obtained from the records of M. Shankar, prepare the Trading A/c for the year ending 31 March 2025

opening old stock 8,00,000
 Purchase for the year 20,00,000
 Carriage inward 35,00,000
 Closing stock is valued 5,00,000
 Name of trader - Mr. Shankar.

Trading A/c for the year ending 31/3/25

Dr.	Expense / Loss	Revenue / Gain	Cr.
	Particulars	Particulars	
1	To old stock	By sales	35,00,000
	To purchase		20,00,000
		By closing stock	5,00,000
	By closing stock		40,00,000
	To carriage inward		35,00,000
			2,21,000
	To Gross Profit [B/F]		17,90,000
			40,00,000

2

From the following balance taken from the books of Keshvi & Kanti Limited for the year ending March 31st 2025, calculate the gross profit

opening stock 15,00,000
 closing stock 8,50,000
 Net sales 40,00,000
 Net purchase 15,00,000
 direct expense 80,000

Real

Format of Trading Alc

(Trading P/L for the year ending 31/12/2019)

Dr	Name of the trader	Revenue / Gains	Ct
<u>Particulars</u>	Particulars	Am'ts	
To Old stock	By opening balance	Xx	
To purchase	By sales Return Return inward)	Xx	
(Return outward) →	By closing stock	Xxx	
<u>Total</u> : Purchase Return Xx			
(Return outward) →			
<u>Direct Expense</u>			
To wages		Xxx	
To cartage Inwards		Xxx	
To freight		Xxx	
To coal, gas, water, Fuel		Xxx	
To cleaning charge		Xxx	
To Dock dues		Xxx	
To Excise duty		Xxx	
To Import duty		Xxx	
To GST		Xxx	
To Factory rent		Xxx	
To manufacturing expense		Xxx	
To Profit/Loss etc		Xxx	
(G/P) given credit		Xxx	
<u>Total</u>	<u>Total</u>		

I Trading A/c Preparation / 2019 Profit

① From the following balance obtained from the records of Mr. Shankar, prepare the Trading A/c for the year ending 31 March 2005

Account	Debit	Credit
opening B.P. stock		₹ 10,00,000
Purchase for the year	₹ 20,00,000	
Carriage forward		₹ 35,00,000
₹ 35,00,000 for the year		
Carriage inward	₹ 10,000	
Closing stock is valued	₹ 5,00,000	
Name of trader - Mr. Shantani.		

Trading A/c for the year ending 31/3/25

[illegible]

From the following balance taken from the books
Kerthi & Kark Limited for the year ending March
31st 2025, calculate the gross profit

closing stock	8,50,000
Net sale	40,00,000
Net purchase	15,00,000
opening stock	15,00,000
direct expenses	80,000

Reeth's Public Limited
for the year ending 31st 2025

Trading A/c for the year ending 31st 2025		Revenue / Gain	Cr
Dr	Particulars	Particulars	Cr
	Particulars	Particulars	
To opening stock	15,00,000	By sales	40,00,000
To purchases	15,00,000		
		By closing stock	8,50,000
<u>Direct expenses</u>			
To direct expense	80,000		
	308,000		
To gross profit (B/F)	11,70,000		
	42,50,000		42,50,000

(3) Prepare trading A/c prime products from the following particulars pertaining for the year 2024-25

opening stock	50,000	closing stock	
purchases	4,50,00,000	discount received	
return inward	5,000	sales return	
sales	3,00,00,000		
return outward	7,000	Purchase return	1,10,000
factory rent	50,000		
carriage	40,000		

Dr	Particulars	Particulars	Cr
To opening stock	50,000	By sales	3,00,000
To purchases	1,10,000	Return sales	500
Return purchase	7,000		
Return outward	1,03,000	Return inward	3,00,000 - 500 = 2,99,500
1,10,000 - 7000 = 1,03,000			
<u>Direct expense</u>			
To factory rent	30,000		
To wage	40,000		
To gross Profit (B/F)	72,000		
	2,95,000		2,95,000

(4) From the following balance of Shri Narayan, prepare trading A/c for the year ending 31/3/2025

opening stock	1,41,200	closing stock	85,000
credit purchase	2,00,000	credit sale	2,20,000
carriage inward	2,000		
freight charge	10,000		
import duty	15,000		
cash purchase	10,000		
cash sales	1,00,000		
stock on 31.3.2023	85,000		
wage	5000		

Dr Expendy / Lossy		Revenue / Gain	
Particular	Am't (₹)	Particular	Am't (₹)
To opening stock	30,000	By sales	1,00,000
To purchase	10,000	cash sales	80,000
cash purchase	10,000	credit sales	20,000
credit purchase 200,000	2,10,000	By closing stock	85,000
<u>Direct expenses</u>			
freight charge	10,000		
import duty	15,000		
carriage inward	2000		
wagey	5000		
	27,000		
Gross Profit (B/F)	73,000		
	3,45,000		3,45,000

5) From the following balance extracted from the books

opening stock	85,000	Salary's	1,40,000
credit purchase	7,50,000	Profit & Loss	
cash purchase	3,00,000		
credit sale	12,00,000		
cash sales	4,00,000		
wagey	1,00,000		
Salary	1,40,000		
closing stock	30,000		
sales return	50,000		
purchase return	10,000		

Note - Salary will appear in profit & loss a/c

II Calculation of cost of goods sold (COGS)

1) Computer

Dr Expendy / Lossy		Revenue / Gain	
Particular	Am't (₹)	Particular	Am't (₹)
To opening stock	85,000	By sales	4,00,000
To purchase		cash sales	4,00,000
credit purchase 7,50,000	7,50,000	credit sales	1,00,000
cash purchase 3,00,000	3,00,000		
<u>Less:</u>			
purchase return 10,000	10,000	sales return	50,000
	10,40,000		15,50,000
<u>Direct expenses</u>			
To wagey	1,00,000	By closing stock	30,000
To gross Profit (B/F)	4,15,000		15,80,000
	15,80,000		15,80,000

II (Cogs)

① Computer cost of goods sold for the year 2025 with the help of following information & find out

Gross Profit: sales 20,00,000

Purchase: 15,00,000

Wages 1,00,000

Opening stock 14/02/25 13,00,000

Closing stock 31/3/25 4,00,000

Freight inward 1,00,000

Particulars

o/p stock

+ Add: - Purchase

+ Add: - Divid expensy

Wages

Freight inward

- Closing stock

Cost of goods sold

or

Particulars

o/p stock

Add: - Purchase

Add: - Divid expensy

Wages

Freight inward

1,00,000 + 1,00,000

Wages

Cost of goods sold

(Cogs)

Trading A/c

Particulars

o/p stock

To purchase

To wages

To Freight inward

To Gross Profit

Particulars

By sales

By closing stock

By Gross Profit

By Freight inward

By wages

By o/p stock

By purchase

By Gross Profit

By Freight inward

By wages

By o/p stock

By purchase

By Gross Profit

By Freight inward

By wages

By o/p stock

By purchase

By Gross Profit

By Freight inward

By wages

By o/p stock

By purchase

Expatriation of Profit

Profit 8,10,000

Cost of goods sold = Sales - Gross Profit

= 20,00,000 - 4,00,000

= 16,00,000

Expatriation of Profit

Profit 8,10,000

Cost of goods sold = Sales - Gross Profit

= 20,00,000 - 4,00,000

= 16,00,000

Expatriation of Profit

Profit 8,10,000

Cost of goods sold = Sales - Gross Profit

= 20,00,000 - 4,00,000

= 16,00,000

Expatriation of Profit

Profit 8,10,000

Difference between Trial Balance and Balance Sheet

	Trial Balance	Balance Sheet
<u>Basis of different</u>	The objective of preparing the trial balance is to verify the arithmetical accuracy of the transactions recorded in the books of accounts.	Preparation of the balance sheet is with the objective of ascertaining an organisation's financial positions as on a specific date.
<u>Objective</u>	Trial balance of an organisation may be prepared at any point of time (as and when required).	Balance sheet of an organisation is normally prepared at the end of an accounting period which may be at quarter end or a year end.
<u>Number of Column</u>	The trial balance has two columns with the heading 'Debit Balance' and 'Credit Balance'.	The balance sheet also has two columns with the headings 'Liability' and 'Assets'.
<u>Typical Account</u>	Balance of all the ledger accounts are taken and shown in the trial balance of a business organisation.	In addition to the accounts of assets, liabilities and capital accounts which remain open after the preparation of trading and profit and loss account also find a place in the balance sheet of a business organisation.

Format of P/L A/c

Particulars	Amt (₹)	Income from	Amt ₹
To Trading A/c		By Trading A/c	
Less: Transferred from trading A/c	XXX	(gross profit transferred from trading A/c)	XXX
<u>Net Profit</u>			
To Office / Administrative expenses		By Indirect Income	
Salaries	XXX	Depreciation received	
Rent, Royalty	XXX	Commission received	
Office lighting & heating	XXX	Bad debts recovered	
Insurance	XXX	Interest received	
Printing & Stationary	XXX		
Postage	XXX		
General charges	XXX		
Telephone charges	XXX		
Audit fees	XXX		
Legal expenses	XXX		
Bank charges	XXX		
<u>To maintenance expenses</u>			
Repairs	XXX		
Depreciation	XXX		
<u>To Selling & Distribution</u>			
Advertisement			
Traveling expenses			
Carriage outwards			
Commission paid			
Bad debts			
<u>To financial expenses</u>			
Discount allowed			
Interest on loan taken			
Interest on capital			
<u>To Net Profit</u>			

Problem - 1

① Problem - 1
From the following particulars, prepare Profit Mo. for the year ending 31/3/2008
P/L a/c for the year ending 31/3/2008

[illegible]

② From the following polymers, prepare monomer
PVC monomer

Dr Expenses		Income / gain	
particulars	amt(₹)	particulars	amt(₹)
To salary	4500	By gross profit	60,000
To lighting	6500	By rent received	7,000
To office expensd	4000	By intrest received	4,000
To commission paid	3000	By discount earned	8000
To repairs	9000		
To repairs to			
To discount allowed	8500		
to			
	35500		73,000.
Total	73,000		
To net profit	37500		
	73,000		73,000

2 Repair P/L A/c To Gross 100

3 Gross 100 15000

4 Commission received 4000

5 Indirect received 5500

6 other operating expenses 8000

7 Insurance 7000

8 selling expenses 9000

9 bad debts 8500

10 other operating income 6000

11 postage 8000

12

13

14

15

16

17

18

19

20

21

22

23

24

2 From the following trial balance prepare trading a/c & P/L A/c for the year ending 31/3/85

Particulars

Debit balance

Sundry Debtors 15,000

Stock on 1/4/85 50,000

Land & building 1,00,000

Cash in hand 16,000

Cash in bank 40,000

Wages 30,000

Bill receivable 20,000

Bad debts 5,000

Repairs 3,000

Planture & fixture 15,000

Depreciation 10,000

Particulars

Rent 8,000

Insurance 80,000

Salaries 80,000

Purchase 1,00,000

General expenses 25,000

Plant & machinery 57,000

Credit balance

Capital 2,50,000

Profit

8,000

80,000

80,000

1,00,000

25,000

57,000

2,50,000

60,000

70,000

1,70,000

40,000

2,50,000

2,50,000

2,50,000

2,50,000

2,50,000

2,50,000

2,50,000

2,50,000

2,50,000

2,50,000

2,50,000

Dr Expenses / Liabilities		Income / Gain		Cr	
Particulars	Amnt (₹)	Particulars		Amnt (₹)	
To opening stock	50,000	By sale		1,10,000	
To purchase	1,00,000	By closing stock		1,00,000	
To wages	30,000				
To Gross Profit c/d	90,000				
(B/F) Balance b/w	2,70,000				2,70,000
		(Short P/L due to error)			
		By gross profit b/d		90,000	
		By interest credit		6000	
By P	2000				
To interest credit	5000				
To Bad debts	3000				
To repairs	10,000				
To Depreciation	8,000				
To Rent	20,000				
To salaries	25,000				
To general expense	83,000				
To Net Profit transferred to capital	96,000				96,000
By Bal					
By Bal					

Amnt taken
from balance sheet

Preparation of Balance Sheet
Balance sheet is a statement of assets & liabilities of a business concern at a given date. It shows the financial position of the business.
All the Accounts of assets, liabilities and capital are shown in the balance sheet. Assets of capital and liability are shown on the left side, known as Liability.
Assets and other debit balance are shown on the right hand side known as Assets.

Basic format of Balance sheet (For understanding)

Liability	Amnt (₹)	Assets	Amnt (₹)
Capital	xxx	Goodwill	xxx
Long term loan	xxx	land & building	xxx
Short term loan	xxx	Plant & machinery	xxx
Sundry Creditors	xxx	Inventory	xxx
Bills payable	xxx	Motor vehicle	xxx
Bank overdraft	xxx	Loose tools	xxx
Outstanding salary	xxx	Prepaid expense	xxx
Advance received	xxx	Outstanding income	xxx
		Prepaid stock	xxx
		Sundry debtors	xxx
		Bills receivable	xxx
		Bank balance	xxx
		Cash	xxx
	xxx		xxx

Current liability

Current liabilities are those liabilities which are accepted to be paid within a year and which are usually paid out of current assets.

- eg:- Bank overdraft,
Bills Payable
Sundry Creditors
Short term loans
Outstanding expenses etc.

Bank Problems

① Prepare a balance sheet of Mr. Monohar as on 31/3/2025

Capital	50,000	→ Liability
Land & building	20,000	→ Asset
Furniture	10,000	→ Asset
Cash in hand	5,000	→ Asset
Sundry Creditors	10,000	→ Liability
Bank Loan	10,000	→ Liability
Drawings	10,000	→ Asset
Machinery	20,000	→ Asset
Bills receivable	5,000	→ Asset
Bank overdraft	26,000	→ Liability
Closing stock	11,000	→ Asset
net profit	5,000	→ no need of P/L A/c bcz they given

Liability

Capital	50,000	→ Liability
Bank Loan	10,000	→ Liability
Bank overdraft	26,000	→ Liability
Drawings	10,000	→ Asset
Bank A/c	10,000	→ Asset
Bank Loan	10,000	→ Liability

① Non-current liability → The business has to pay after 12 months

② Current liability → The business has to pay within 12 months

③ Non-current assets → The assets are not more than 12 months

④ Current assets → The assets will be converted into cash within the next 12 months

It is based on accounting period
 $A = L + C$

Marshaling:- It refers to the order in which the various assets and liabilities are shown in the balance sheet

Format of order of liquidity

Balance Sheet of ... (Cash on hand)

Liability	Am't	Assets	Am't
<u>Current Liability</u>		<u>Current Assets</u>	
Bank overdraft	xxx	Cash in hand	xxx
Bills payable	xxx	Cash at bank	xxx
Outstanding expenses	xxx	Bills receivable	xxx
Sundry Creditors	xxx	Sundry debtors	xxx
Income received in advance	xxx	Prepaid exp	xxx
<u>Long term liability</u>		<u>Accrued income</u>	xxx
Loan	xxx	Closing stock	xxx
<u>Capital</u>		<u>Investment</u>	
Old Balance	xxx	Fixed Assets	xxx
Add: N.P.F. net profit	xxx	Furniture & fixture	xxx
Less: N.P.F. net loss	xxx	Plant & machinery	xxx
Less: Drawing	xxx	Building	xxx
		Land	xxx
		Goodwill	xxx
			xxx

Format of order of permanence, Permanent
Balance sheet of ... (Cash on)

Liability	Am't	Assets	Am't
<u>Capital</u>		<u>Fixed Assets</u>	
Old Balance	xxx	Goodwill	xxx
Add: Net profit	xxx	Land	xxx
Less: Net loss	xxx	Building	xxx
Less: Drawing	xxx	Plant & machinery	xxx
		Furniture & fixture	xxx
<u>Long term liability</u>		<u>Investment</u>	
Loan	xxx	<u>Current Assets</u>	
<u>Current Liability</u>		Closing stock	xxx
Income received in advance	xxx	Accrued income	xxx
Sundry Creditors	xxx	Prepaid expenses	xxx
Outstanding expenses	xxx	Sundry debtors	xxx
Bills payable	xxx	Bills receivable	xxx
Bank overdraft	xxx	Cash in bank	xxx
		Cash in hand	xxx
			xxx

opening stock

opening stock

opening stock

opening stock

opening stock

opening stock

opening stock

opening stock

opening stock

opening stock

1. Give below prepare trial balance of pop on 31/3/2025 and Profit & Loss A/c for the year ending 31/3/2025 and Balance sheet as a date.

Particular	Am't	Particular	Am't
Debit balance		Credit balance	
opening stock	45,000	Sundry creditors	2,500
Purchase	1,20,000	Return outward	2,500
Return inward	3,200	Sales	3,50,000
Carriage inward	2,400	Loan from bank	24,000
Carriage outward	1,500		
Office furniture	8,000		
Sundry debtors	63,000	Discount received	8,000
Dock charges	5,000	Commission	1,600
Electric power	10,000		
Fuel, gas & water	12,000		
Bad debts	1,100		
Adjustment	25,000		
Salaries	36,000		
Cash in hand	2,100		
Cash at bank	30,000		
Motor vehicle	58,000		
Motor repairs	3,000		
Interest on			
Bank loan	2,400		
Rent & Insurance	24,500		
Business premises	2,06,000		
Household expenses	33,000		
(Closing)	6,02,200		6,02,200

Adjustment:- Stock at the end ₹ 75,000

Trading A/c and P/L A/c for the year ending 31/3/25

Particulars	Am't	Particulars	Am't
opening stock	45,000	By Sales	3,50,000
To opening stock	45,000	Sales return	3,800
To purchase	1,20,000		
Return inward	3,200		
Carriage inward	2,400		
Carriage outward	1,500		
Office furniture	8,000		
Sundry debtors	63,000		
Dock charges	5,000		
Electric power	10,000		
Fuel, gas & water	12,000		
Bad debts	1,100		
Adjustment	25,000		
Salaries	36,000		
Cash in hand	2,100		
Cash at bank	30,000		
Motor vehicle	58,000		
Motor repairs	3,000		
Interest on			
Bank loan	2,400		
Rent & Insurance	24,500		
Business premises	2,06,000		
Household expenses	33,000		
(Closing)	6,02,200		

Balance sheet
B/S on year
ending 31/9/15

Liability

Summary of Adjustments entries

Liability	Am't	Assets	Am't
<u>Current Liability</u>		<u>Current Assets</u>	
Sundry Creditors	22,100	Cash in hand	2,100
		Cash at bank	30,000
		Sundry Debtors	22,000
<u>Long term Liability</u>		Closing stock	75,000
Loan from Bank	24,000		
<u>Capital</u>		<u>Fixed Assets</u>	
opening stock (Balance)		Furniture	8000
opening balance		motor vehicle	58,000
(Capital opening balance)	80,000	Buildings	1,06,000
Add: N/P	1,40,000		
Less: Drawing	33,000		
(1,40,000 - 33,000)	3,07,000		
	3,53,100		3,53,100

Adjustments	Journal Entry	Adjustment in	Adjustment in
		Trading and P/L Account	Balance sheet
① Closing stock	Closing stock A/c Dr. To Trading A/c	Posted as the credit side of Trading Account	shown as the debit side B/S
② Depreciation Expense	Depreciation A/c — Dr To Asset A/c	Posted as the debit side of P/L Account	shown as B/S - deducted from
③ Appreciation Asset	Appreciation A/c — Dr To Appreciation A/c	Posted as the credit side of P/L Account	shown as added to opening
④ Outstanding Expense	Outstanding Expense A/c — Dr To Expense A/c	Added to the + concerned expense at the debit side of P/L of Trading	shown as the liability side, B/S.
⑤ Prepaid Expense	Prepaid Expense A/c — Dr To Expense A/c	Deducted from the concerned expense at the debit side of P/L	shown as the asset side
⑥ Accrued Income	Accrued Income A/c — Dr To Income A/c	Added to the concerned income at the credit side of P/L Account	shown as the liability side
⑦ Unearned Income	Unearned Income A/c — Dr To Income A/c	Deducted from the concerned income at the credit side of P/L Account	shown as the liability side
⑧ Outstanding P/L A/c	Outstanding P/L A/c — Dr To Outstanding P/L A/c	Posted as the debit side of P/L Account	shown as the liability side.

8	Journal Entry on Capital A/c	posted at the debit side of P/L account	added to capital at the liability side
9	Journal Entry on Capital A/c	posted at the credit side of P/L account	deducted from capital at the liability side
10	Journal Entry on Drawing A/c	posted at the credit side of P/L account	deducted from capital at the liability side
11	Journal Entry on Drawing A/c	posted at the debit side of P/L account	added to loan at the liability side
12	Journal Entry on Loan A/c	posted at the debit side of P/L account	added to loan at the liability side
13	Journal Entry on Loan A/c	posted at the credit side of P/L account	deducted from loan at the liability side
14	Journal Entry on Provision for Debtors A/c	posted at the debit side of P/L account	deducted from debtors at the liability side
15	Journal Entry on Provision for Debtors A/c	posted at the credit side of P/L account	deducted from debtors at the liability side
16	Journal Entry on Provision for Debtors A/c	posted at the debit side of P/L account	deducted from debtors at the liability side

2. From the following Trial Balance and additional information, prepare Trading & Profit & Loss A/c and Balance Sheet.

Particulars	Amount	Particulars	Amount
Sundry Creditors B/S	27,000	Cash in hand B/S	100
Bill Payable B/S	6,500	Cash at Bank B/S	900
Capital B/S	38,000	Bills Receivable B/S	200
Cash in hand	20,000	Sundry Debtors B/S	600
		Opening stock	400
		Purchase	10,000
		Drawings B/S	800
		Machinery B/S	15,000
		Carriage Inward	200
		Wages	200
		Sundry P/L	500
		Sundry Expense P/L	500

Adjustment: Closing stock 10,000

- ⑧ outstanding wages ₹ 500
- ⑨ prepaid salary ₹ 10,000
- ⑫ charged depreciation on machinery at 10%

56,700

56,700

Dr	Cr
<u>Particulars</u> By opening B/L To opening stock 4000 To purchase 10,000 <u>Direct expenses</u> Freightage paid 800 To wages 2000 + By adjustment 500 add: outstanding wages 500 (see adjustment journal) + 8000 + 500 = total 8500 To Gross Profit A/c 20,300 <u>34,000</u>	<u>Particulars</u> By sales By closing stock 10,000 <u>By</u> 85,000 10,000 <u>95,000</u>
<u>Particulars</u> To Salaries 5000 By adjustment 1000 add: prepaid salary 1000 5000 - 1000 = 4000 To sundry expenses 500 To Depreciation on machinery 1500 15000 x 10% = 1500 100 To NIP A/c 14,300 <u>20,300</u>	<u>Particulars</u> By Gross Profit A/c 20,300 <u>20,300</u>

Liability	Asset
<u>Current Liability</u> Sundry creditors 6500 By purchase 9800 By closing stock 500 <u>Long term liability</u> Capital o/p Balance 20,000 add: Net Profit 14300 add: Dividend 8000 <u>34,300</u>	<u>Current Assets</u> Cash in hand 100 Cash at bank 90 Bill receivable 80 Sundry debtors 60 Prepaid expenses 10 Closing stock 10 Machinery 15,000 By Dep - 1500 <u>13,500</u>
48500	48500

Note

(1) Outstanding expenses - expenses A/c — Dr

added (+) to the concerned A/c at the debit side of P/L A/c

(2) prepaid expenses — Dr

Shown at the liability side

Prepaid expenses A/c — Dr

Deducted from the concerned A/c at the debit side

(3) Depreciation — Dr

Shown at the assets side

Depreciation A/c — Dr

posted at the debit side of P/L A/c

shown as add to concerned assets

from the following trial balance extract from the books of Mr. Narayan. Prepare Trading & P/L a/c as B/S for the year ending 31/3/2019

Particulars	B/S	P/L	
Capital	81,000	-	
Borrowing	60,000	-	
Plant & Machinery	46,000	-	
Debtors	-	45,000	
Creditors	80,000	1,40,000	
Purchase & Sale	4000	5000	
Return	15,000	-	
Wages	1000	-	
Cash in hand	6000	-	
Cash at bank	10,000	-	
Salaries	4000	-	
Repairs	4500	-	
Rent	80,000	-	
Stock	5000	-	
Manufacturing Expense	5000	-	
Bills	10,000	-	
Bad debts	1000	-	
Carriage	8000	1500	
Adjustments:	2,72,500	2,72,500	

1. Rent paid in advance ₹ 500
2. Depreciation plant & machinery @ 10% per annum
3. Allow Profit on Capital @ 5% per annum
4. Closing stock was ₹ 30,000

Particulars	Amount (₹)	Particulars	Amount (₹)
TO Opening Stock	80,000	By Sale	1,40,000
TO Purchase	86,000	(-) Return	4,000
(-) Return	5,000	By closing stock	30,000
TO Wages	15,000		
TO Manufacturing Expense	5,000		
TO Carriage	8,000		
TO Gross Profit	49,000		
	1,66,000		1,66,000

TO Salary	10,000	By Gross Profit b/d	49,000
TO Repairs	4,000	By Provision for bad debts	1,500
TO Rent	4,500		
- 500	4,000		
	1000		

TO bad debts	1,000		
TO depreciation plant & machinery	6,000		
(60,000 x 10/100)			

TO Profit on Capital	4,050		
(81,000 x 5/100)			

TO Net Profit	81,450		
	59,500		
	50,500		

Balance sheet for the year ending 31/3/2019

Liability	Part (R)	Assets	Part (S)
Current Liability		Revenue assets	
Capital		Cash in hand	1000
o/p Balance	81,000	Cash at bank	6000
add: Net profit	21,450	Debtors	10,000
Less: Drawing	10,000	Bills	30,000
Add: Contribution	4050	Closing stock	500
Capital	96,500	Prepaid rent	
Debtors	45,000	Equipment plant's machinery	
		(60,000 x 10/100)	
		60,000 - 6000	54,000

(A) The following Trial balance was extracted from the books of Mr. Record as on 31/3/2018.

Particulars	Dr (R)	Cr (S)
Capital	-	81,000
Plant & Machinery	60,000	
Furniture	30,000	
Building	70,000	
Sales	-	8,53,000
Purchase	1,40,000	
Return	8,000	1,85,000
Stock on 1/4/2017	60,000	-
Drawn	10,000	
Debtors & Creditors	90,000	85,000
Salaries	15,100	
Costs	16,000	
Profit	4,000	
Carriage outward	2,400	
Revenue	14,000	

Advertising bill	6,000	-
Cash in hand	13,800	-
Bills receivable & bill payable	85,000	35,000
	5,73,150	5,73,150

Adjustment:

- Closing stock was valued at 95,000
- Goods sold at a profit @ 5% p.a.
- Expn furniture & machinery 10% per annum each
- Outstanding salary 8500 & prepaid rent 2300

Particulars	Part (R)	Particulars	Part (S)
To opening stock	60,000	By sale	85,400
To purchase	1,40,000	(-) return	8,000
(-) return	2,500	By closing stock	95,000
To wages	1,40,000		
To freight	4,000		
To Gross Profit	1,09,500		
	3,47,000	By Gross Profit	1,09,500
To salaries	15,100	By discount	1,650
(+) 2500	17,600		
To rent	14,000		
(-) 8000	4,000		
To advertising	6,000		
To depreciation	6,000		
machinery			
furniture			
To depn machinery	6,000		
To interest on capital	11,500		
To carriage outward	2,400		
To discount	2,400		
	5,13,500		

11,150

Balance sheet as on 31/3/2018.

Liability	amt (₹)	Assets	amt (₹)
Current Liability		Current assets	
Bills payable	35,000	Cash in hand	13,800
creditors	50,000	Debtors	90,000
Salary	2500	Furniture	29,000
		machinery	54,000
		paid up	3000
Capital		Bills receivable	25,000
o/p balance 2,39,000		Building	70,000
add: net profit 52,800		closing stock	45,000
on capital: 11,500			
	3,81,800		3,81,800

5) Prepare Trading & P/L A/c & Balance sheet from the following balance, for the year ending 31/3/2011

Particulars	amt	Particulars	amt
Capital 31/3	10,000	wages & F	5,000
creditors 31/3	1,000	Boole 31/3	1,000
Return outward T	500	repairs P/L	150
Salu T	16,400	stock	21,000
Bills payable 31/3	500	rent P/L	400
Plant & machinery 31/3	4000	Manufacturing expn	800
sundry debtors 31/3	2400	Trade expn P/L	700
drawing 31/3	1000	Bad debts P/L	200
Purchase T	10,500	carriage T	150
Return inward T	300	power T	100

adjustment:

1. closing stock was valued @1450
2. Depreciation plant & machinery 400
3. Allow 5% profit on capital
4. Allow 5% due from repairs

Particulars	amt (₹)	Particulars	amt (₹)
o/p stock	2000	To Salu 16,400	16,400
Purchase 10,500		(-) return 300	16,100
(-) return 500	10,000	To closing stock	1450
To wages	5000		
To made expn	800		
To carriage	150		
To fuel & power	100		
	18,050	By Gross 100	18,050
To Gross 100	500		
To repairs 50	90		
add 5% repairs 40	400		
To rent	700		
To trade expn	800		
To Bad debts	400		
To depn plant & machinery	400		
To Indent on capital	500		
	2790	By net 1000 cld	2790

B/S on 31/3/2021

Liability	amt (₹)	Assets	amt (₹)
<u>Current Liability</u>		<u>Current Assets</u>	
creditors	1,800	Plant & Machinery	4000
Bills payable	500		4000
ols repairs	40	ku:- Depreciation	3600
<u>Capital</u>			
o/p Balance	10,000	sundry debtor	2800
Net Profit	8796	Bank	1000
ku:- Drawings	1000	closing stock	1450
Add:- Profit on capital	500		
	6710		
	<u>8450</u>		<u>8450</u>

Prepare Trading A/c and P/L A/c and balance sheet from the following balance relating to the year ending 31 March 2021

Particulars	amt	Particulars	amt
Debit Capital	10,000		
Creditors	1800		
Return outward	500		
Salary	16,400		
Bills payable	500		

From the following prepare A/c and P/L and balance sheet

Particular	Debit	Credit
Capital		1,20,000
Drawings	15,000	
Bills receivable	20,000	
Machinery	20,000	
Debtors & Creditors	60,000	32,000
Wages	39,000	
Purchase & Sale	2,52,000	3,55,000
Commission		5,500
rent & Taxes	6000	
Stock on 1/1/2020	90,000	
Salaries	10,500	
Traveling exp	8000	
Insurance	600	
repairs	3400	
Bad debts	3500	
Lighting	9000	
Retains	5000	2000
Cash in hand	2500	
By bank	5,40,500	5,40,500

Adjustment

- Stock on hand on 31/12/2020 was ₹ 1,00,000
- Create 25% provision on Debtors for doubtful debts
- Prepaid Insurance amounted to ₹ 100
- wages outstanding was ₹ 1000
- Depreciation machinery by 5% and furniture 10% per annum

B/S
Assets
Capital 1,20,000
Drawings 15,000
Bills receivable 20,000
Machinery 20,000
Debtors 60,000
Creditors 32,000
Wages 39,000
Purchase & Sale 2,52,000
Commission 5,500
rent & Taxes 6,000
Stock on 1/1/2020 90,000
Salaries 10,500
Traveling exp 8,000
Insurance 600
repairs 3,400
Bad debts 3,500
Lighting 9,000
Retains 5,000
Cash in hand 2,500
By bank 5,40,500

B/S on

o/p balance & o/p stock

Expenses

amt(₹)

Particular

amt(₹)

8lp stock

To purchase 2,52,000

2,52,000

By sales

3,55,000

net purchase return

2,52,000

By closing stock

1,00,000

asset - 5000

2,50,000

By closing stock

1,00,000

net purchase return

2,50,000

By closing stock

1,00,000

net purchase return

2,50,000

By closing stock

1,00,000

net purchase return

2,50,000

By closing stock

1,00,000

net purchase return

2,50,000

By closing stock

1,00,000

net purchase return

2,50,000

By closing stock

1,00,000

net purchase return

2,50,000

By closing stock

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net purchase return

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By closing stock

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net purchase return

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net purchase return

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net purchase return

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By closing stock

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net purchase return

2,50,000

By closing stock

1,00,000

net purchase return

2,50,000

By closing stock

1,00,000

net purchase return

2,50,000

By closing stock

1,00,000

net purchase return

2,50,000

By closing stock

1,00,000

Liability

amt

Liability

amt

current liability

58,000

cash at bank

8500

creditors

1000

cash in hand

8500

outstanding wages

1000

prepaid insurance

100

capital

1,19,700

fixed assets

1,00,000

o/p balance

1,34,700

machinery

19,000

add: N/P

1,19,700

net dep

1000

By Drawing

1,19,700

furniture

9000

o/p balance

1,20,000

net dep

1000

add: N/P

1,20,000

net dep

1000

By Drawing

1,20,000

net dep

1000

o/p balance

1,20,000

net dep

1000

add: N/P

1,20,000

net dep

1000

By Drawing

1,20,000

net dep

1000

o/p balance

1,20,000

net dep

1000

add: N/P

1,20,000

net dep

1000

By Drawing

1,20,000

net dep

1000

o/p balance

1,20,000

net dep

1000

add: N/P

1,20,000

net dep

1000

By Drawing

1,20,000

net dep

1000

o/p balance

1,20,000

net dep

1000

add: N/P

1,20,000

net dep

1000